Challenge Group B

2026.2

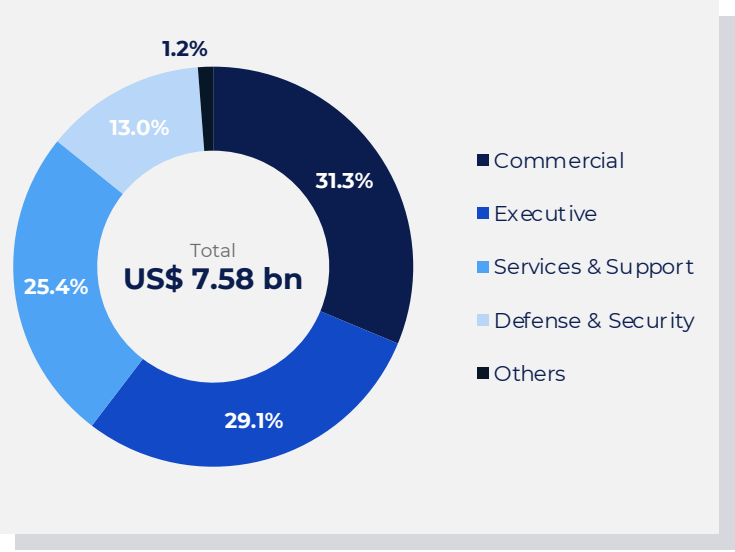
David Mansur | Luisa Martini | Manuela Neves

Embraer at a glance

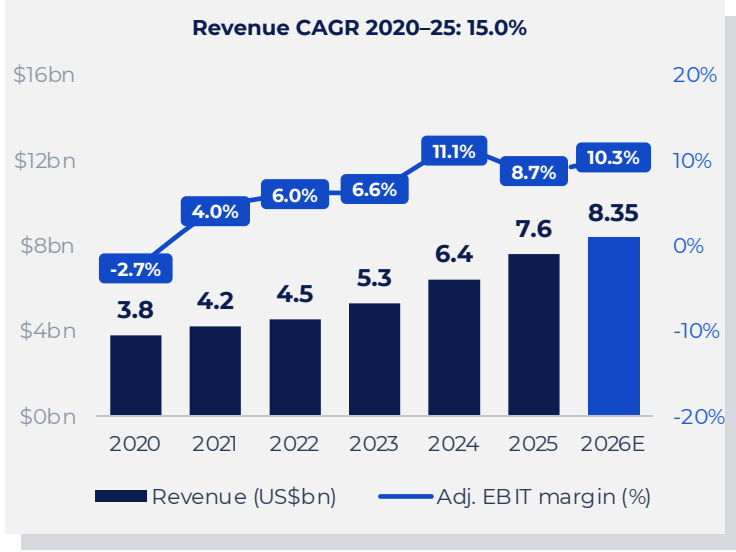
An integrated aerospace leader combining diversified operations, improving profitability and global market exposure.

Diversified operations, strong growth and global reach

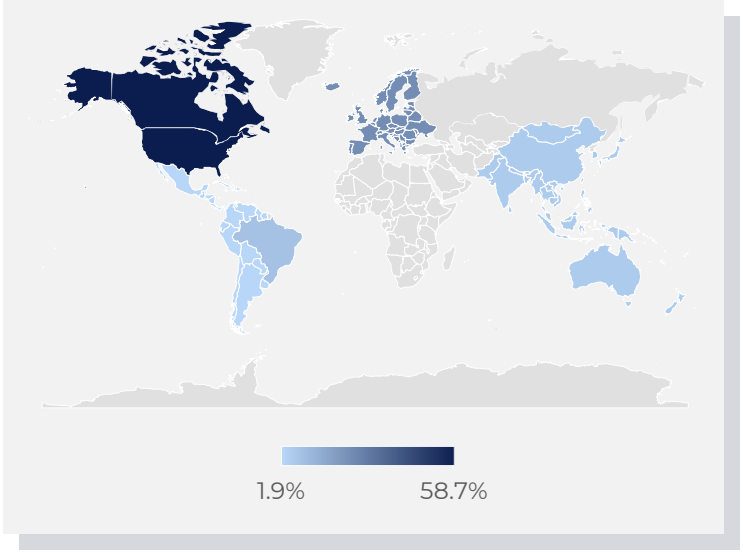
Revenue breakdown by segment (2025)



Revenue & adjusted EBIT margin (2020–2026E)



Revenue by region, 2025 (% of total)



1969 — Founded by the federal government in São José dos Campos (SP)

1994 — Privatized (Dec 7, 1994); federal government keeps a golden share

2000 — Global offering and NYSE listing (ADS "ERJ")

2006 — Joins B3's Novo Mercado; dispersed ownership, no controlling shareholder

2018–2020 — Boeing deal announced and terminated

2022 — Eve (eVTOL) listed on the NYSE

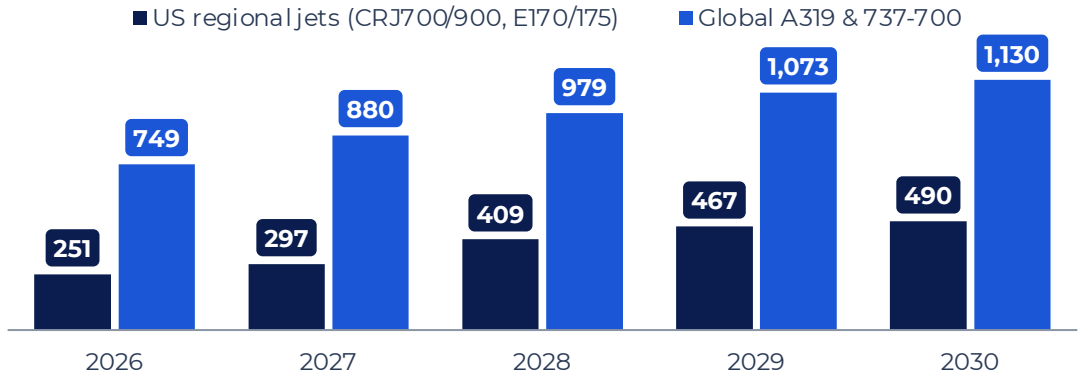
__Revenue by segment:__ Embraer, Form 20-F FY2025 (SEC); shares calculated on reported revenue. __Revenue and margin:__ 2024 adj. EBIT margin includes US$150m Boeing arbitration settlement (ex-Boeing margin: 8.7%). 2025 adj. EBIT margin includes US$54m U.S. tariff impact. 2026E: midpoint of company guidance (revenue US$8.2–8.5bn; adj. EBIT margin 10.0–10.6%); guidance includes US$68m extraordinary tax credit. Source: Embraer Earnings Releases, FY2020–FY2025 and 2Q26. __Revenue by region:__ Embraer, Form 20-F FY2025; 91.7% of revenue comes from outside Brazil; Other (1.4%) not broken out or shown; country shading reflects the region's share.

Industry overview

Aging fleets and rising traffic sustain aircraft demand

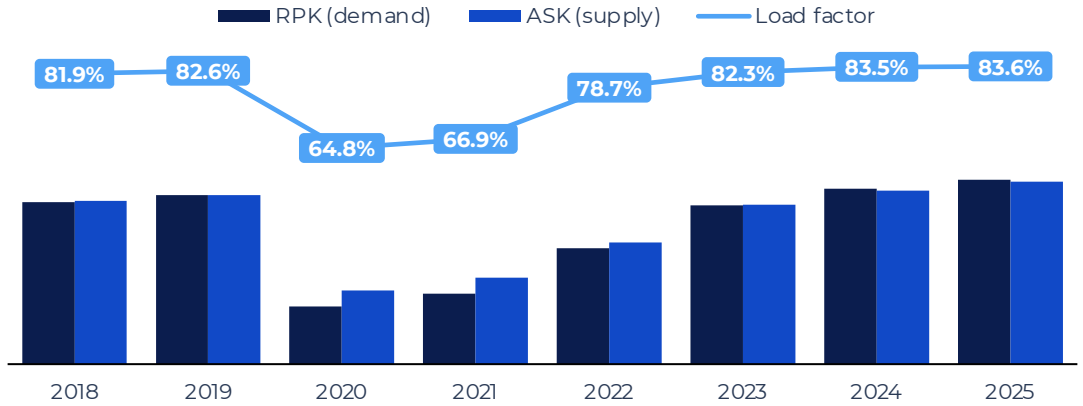
Aging fleets trigger a replacement wave

Aircraft aged 20+ years, all manufacturers, units, 2026–2030



And traffic growth adds incremental demand

RPK and ASK indexed to 2019 = 100; load factor, %, 2018–2025



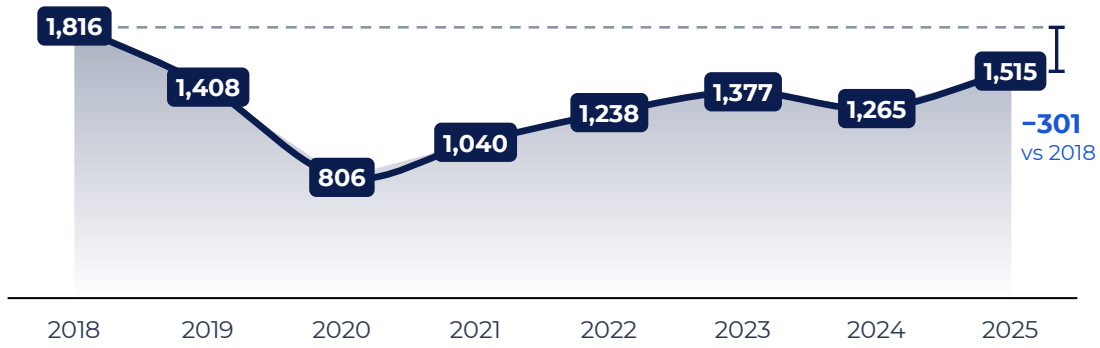
With a tightly linked value chain

Aircraft value chain across all segments, from suppliers to aftermarket



Aircraft supply still lags demand

Global commercial aircraft deliveries, all manufacturers, units, 2018–2025

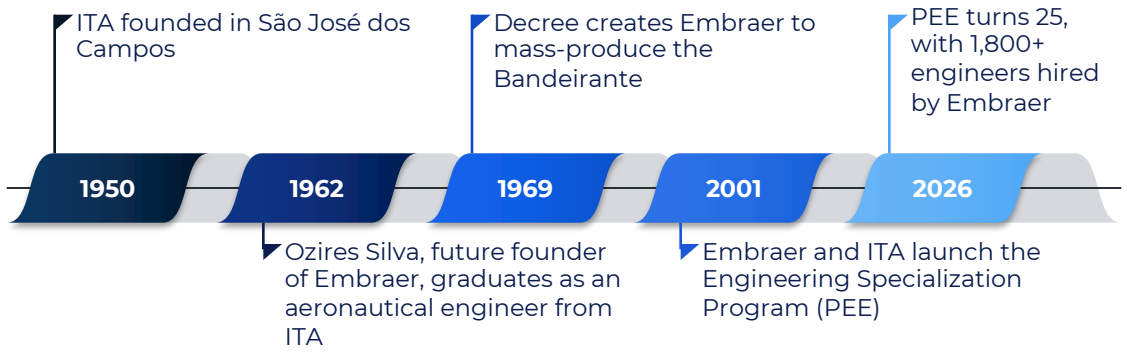


Decades of expertise, proven credibility

Human capital, certification execution and operational reliability reinforce Embraer's competitive positioning.

ITA: the talent engine behind Embraer

Timeline of ITA and Embraer



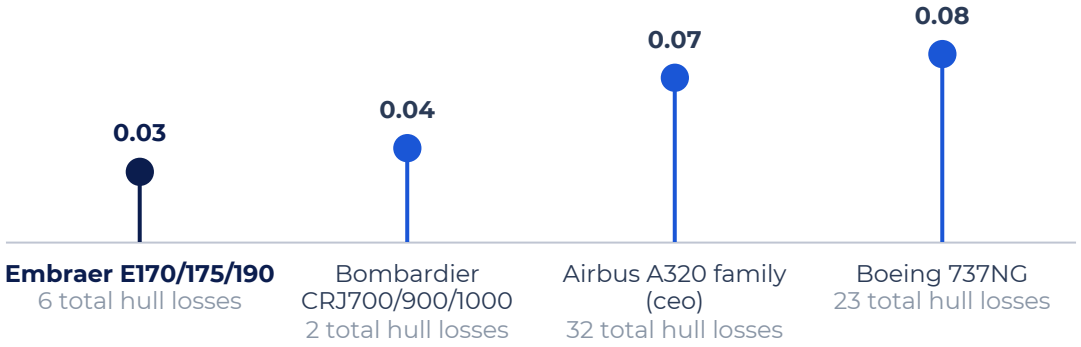
Aircraft Certification Timeline Comparison

Months from program launch to initial type certification



Historical Fatal Hull-Loss Rates by Aircraft Family

Fatal hull losses per million departures



The Foundation of Embraer's Success

ITA's role in developing aerospace talent



"ITA gave me the opportunity to turn a long-held ambition into reality."

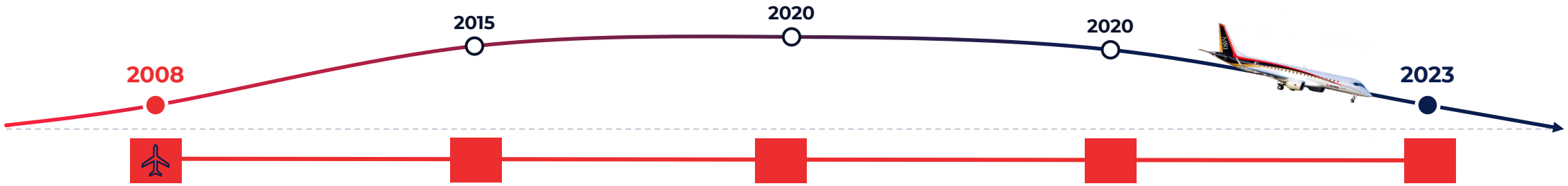
Ozires Silva, Founder of Embraer, Forbes (2021)

Hull-loss rates: *Historical cumulative rates through 2025. Total hull-loss events include both fatal and nonfatal accidents; rates are exposure-adjusted and may reflect differences in fleet age, routes and operations. Source: Boeing, Statistical Summary of Commercial Jet Airplane Accidents, 2025.*

Mitsubishi SpaceJet: the failed entry

Mitsubishi SpaceJet: From Launch to Cancellation

15 years of development, repeated delays and no commercial aircraft deliveries



Program launched
MRJ program launched, targeting certification and first deliveries in 2013

First flight
First flight, four years later than originally planned

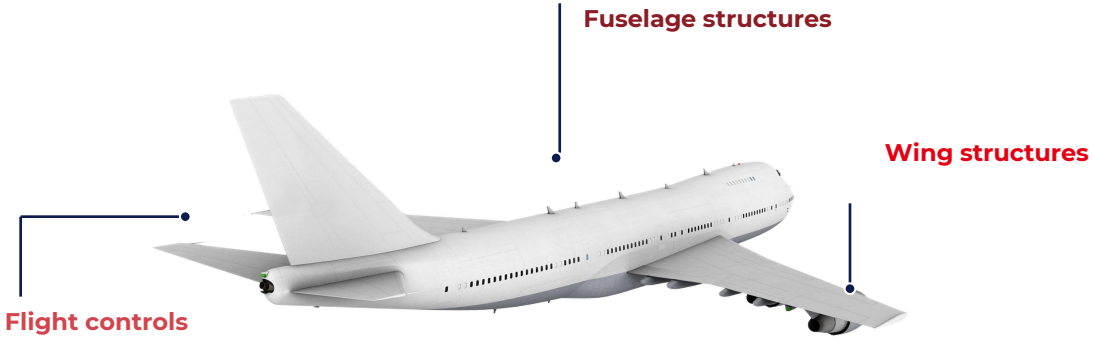
Sixth delivery delay
Sixth delivery postponement; significant program losses recognized

Development suspended
Financial pressure, certification challenges and COVID-19 halt development

Program terminated
SpaceJet cancelled, citing insufficient commercial viability

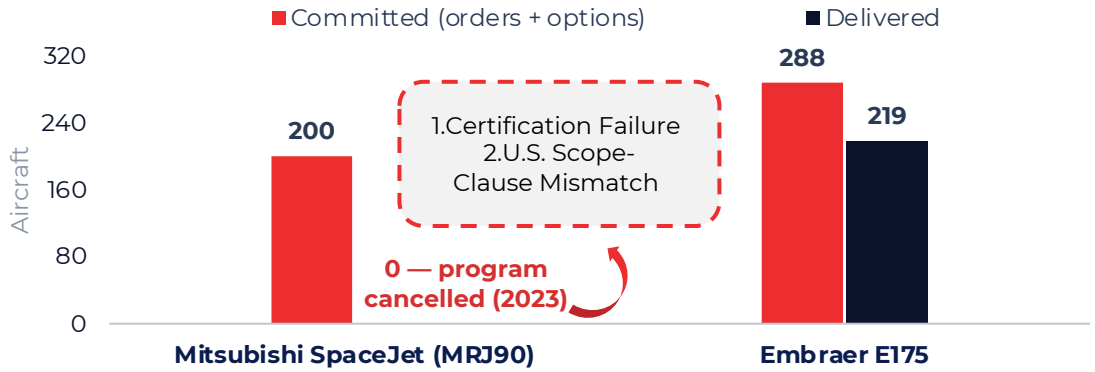
A Proven Aerospace Supplier

Mitsubishi already manufactured critical aircraft structures before launching the SpaceJet



Same customer, two choices

SkyWest Airlines aircraft committed vs. delivered, by manufacturer



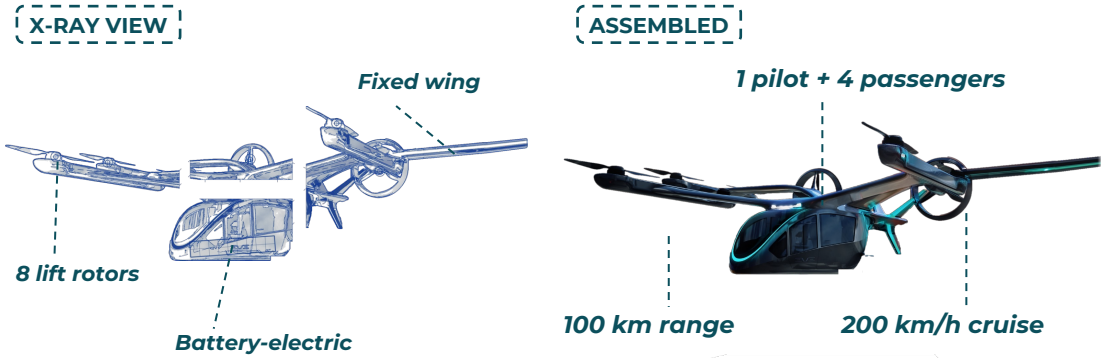
Source: Mitsubishi Heavy Industries, official program announcements and FY2022 Q3 Results Presentation (2023).

Eve, "at a glance"

A lift-and-cruise electric air taxi, built on Embraer's industry and certification know-how

Eve turns Embraer's know-how into an air taxi...

Eve eVTOL, X-ray (disassembled) vs. assembled, and what it is made of



Aircraft

Lift-and-cruise eVTOL: 8 lift rotors plus a rear pusher, all-electric, 1 pilot and 4 passengers

Beyond the aircraft

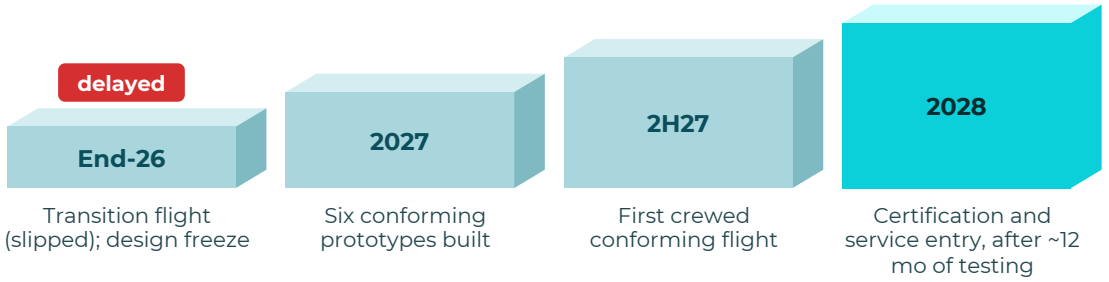
Vector air-traffic software and TechCare services: LOIs from 21 and 14 customers

Built on Embraer

Plant in Taubaté (SP); US$ 100–150 mn of synergies expected over three years

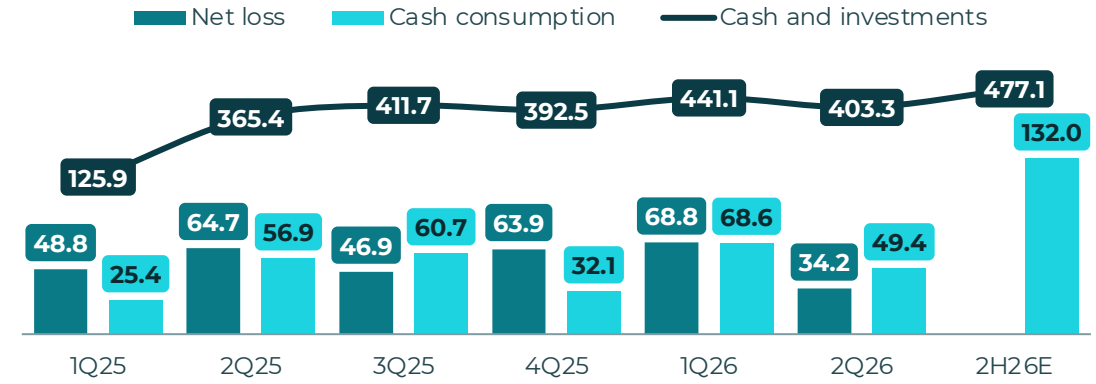
...that is still a prototype in testing...

Eve roadmap to certification and service entry, 2026–2028



...but shows commitment: already burns cash every quarter

Eve net loss, cash consumption and cash balance (US$ mn)



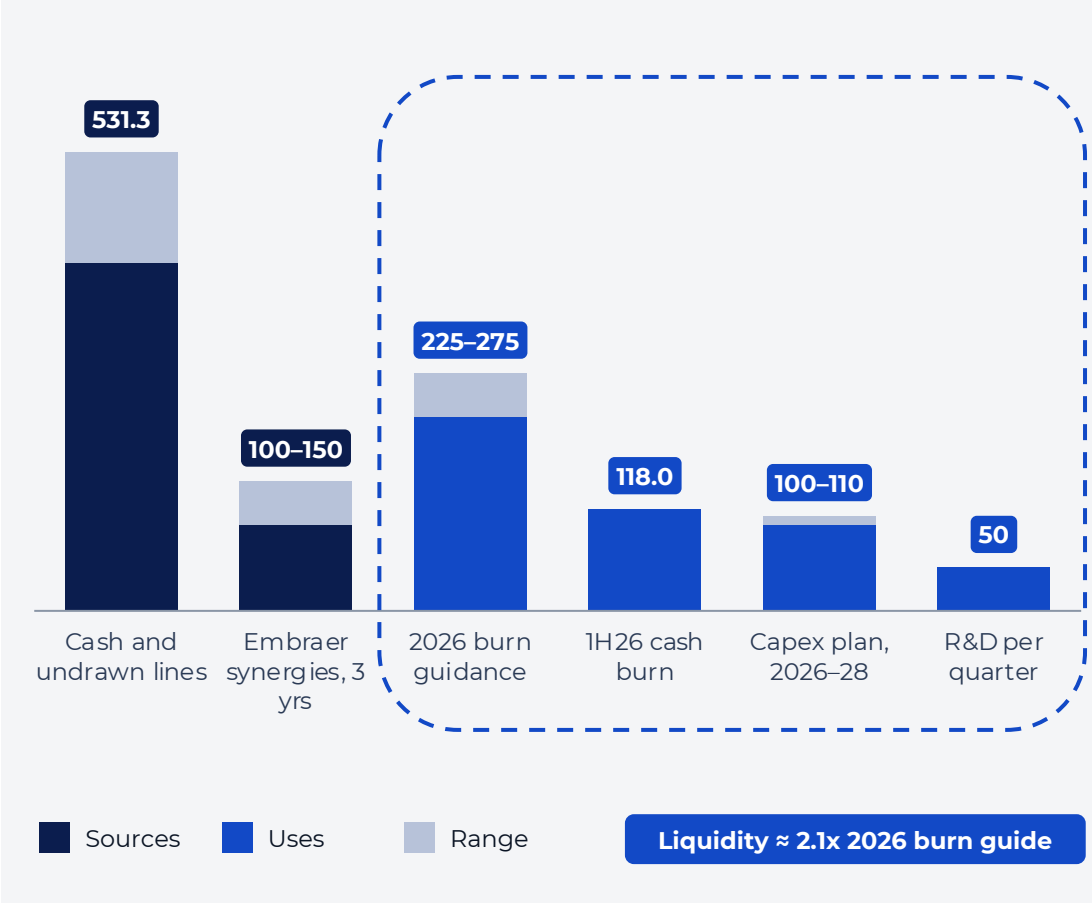
Sources: Eve holding 2Q26 earnings call and release

Eve is a funded bet, not yet a business

Steady cash burn, backed by Eve's own liquidity and by Embraer's balance sheet

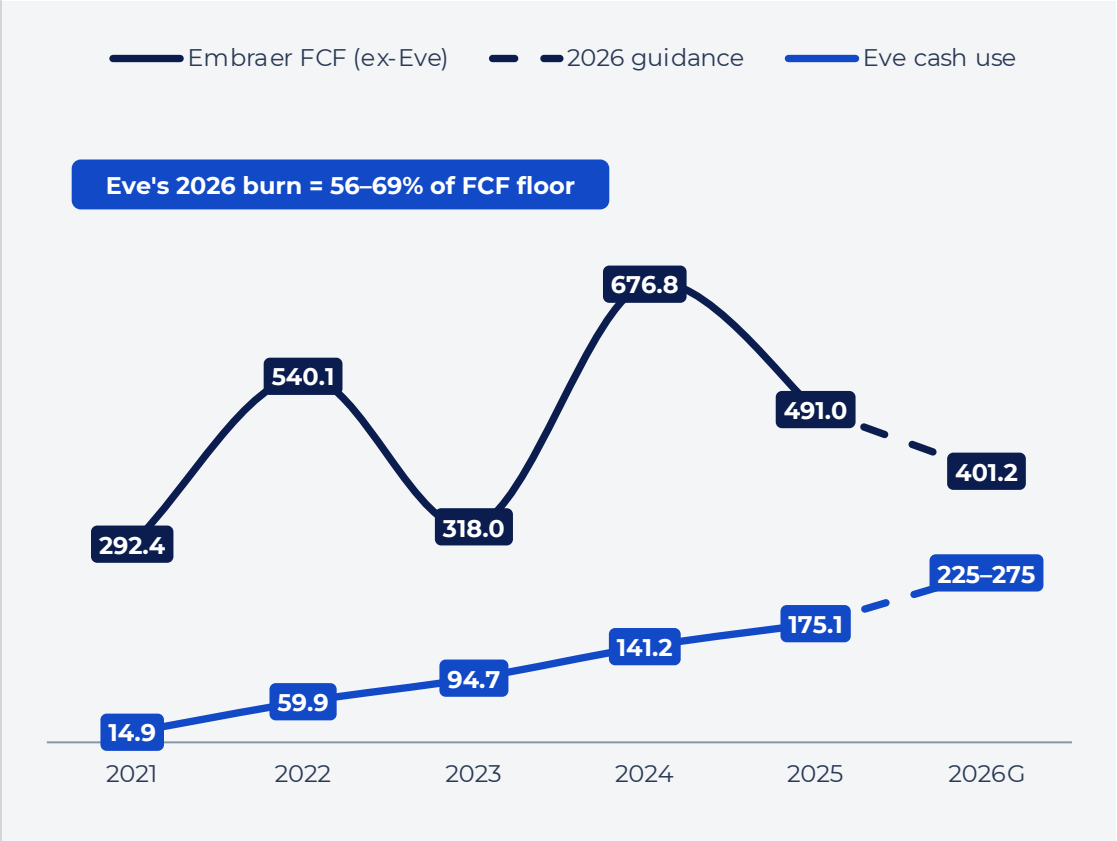
...so who pays the bill until then?

Eve funding sources vs. cash needs (US$ mn)



...and Embraer's cash flow can carry it

Embraer FCF vs. Eve cash use, 2021–25 and 2026 guidance (US$ mn)



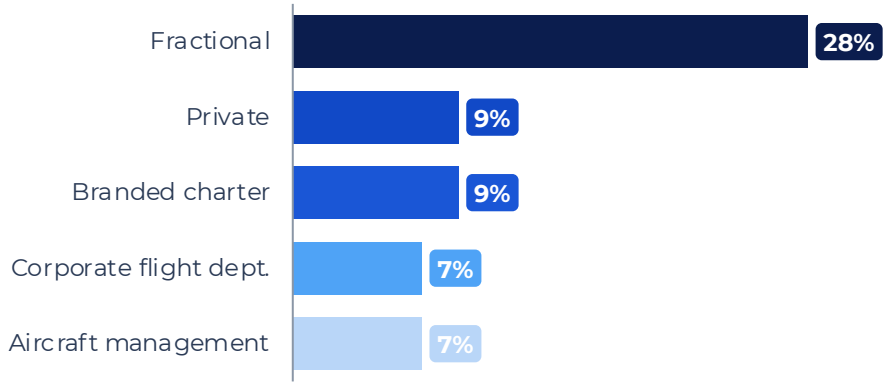
Sources: Embraer earnings, Eve Holding earnings

Executive jets, a fleet-driven growth engine

A lean four-jet lineup, favored by fractional operators

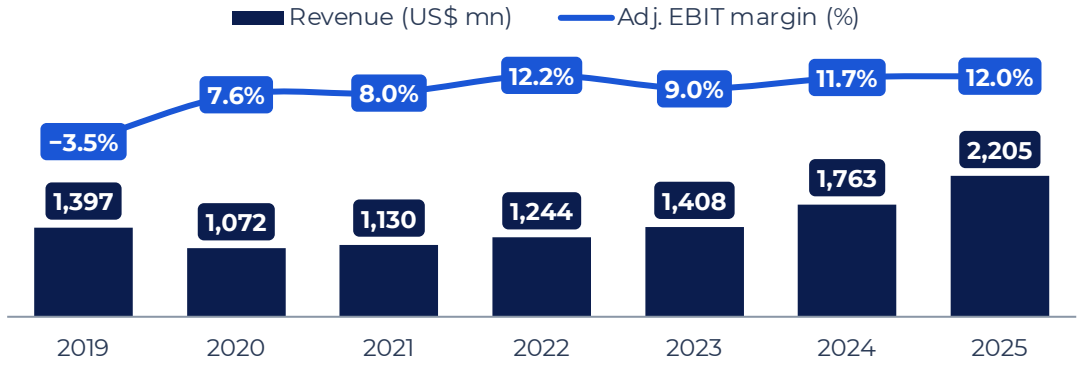
Fractional operators are the core customer

Embraer share of the global business-jet fleet, by operator type (%)



Revenue keeps climbing while margins hold steady

Segment revenue (US$ mn) and adjusted EBIT margin (%), 2019–2025



A step-up ladder from entry to super-midsize

Current lineup: class, list price (US$ mn) and range (nm)



Entry	Light	Midsize	Super-midsize
Phenom 100EX	**Phenom 300E**	**Praetor 500**	**Praetor 600**
US$ **~5.5** mn	US$ **12.9** mn	US$ **20.6** mn	US$ **24.0** mn
1,178 nm	**~2,010** nm	**3,340** nm	**4,018** nm

Key stats

29%	1,749	8%	155
Share of Embraer revenue (2025)	Phenom & Praetor jets delivered, 70 countries	Of global executive flights done by Phenom 300E	Deliveries in 2025 (all-time record)

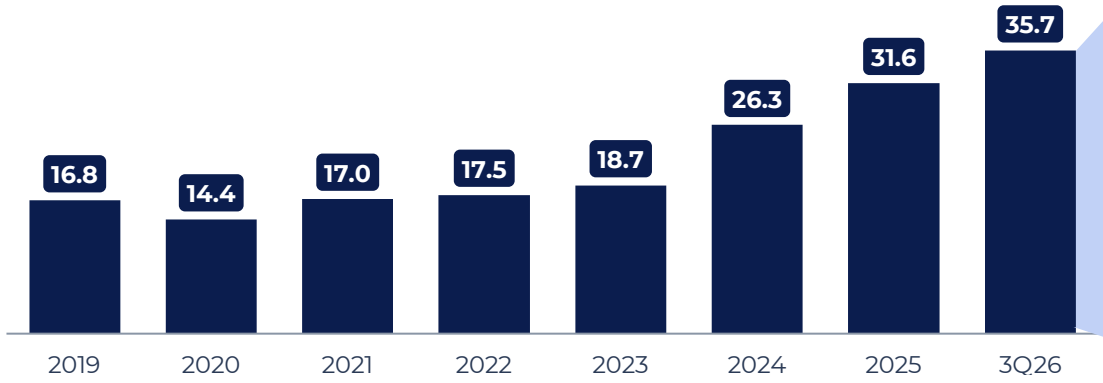
Sources: Embraer Valuation Guide 2Q26; Embraer 20-F 2025; JETNET iQ/WingX Market Barometer (Jul-2026); B&CA Purchase Planning Handbook 2025; AIN

Record backlog meets a faster delivery pace

88% of the backlog is expected to become revenue within five years

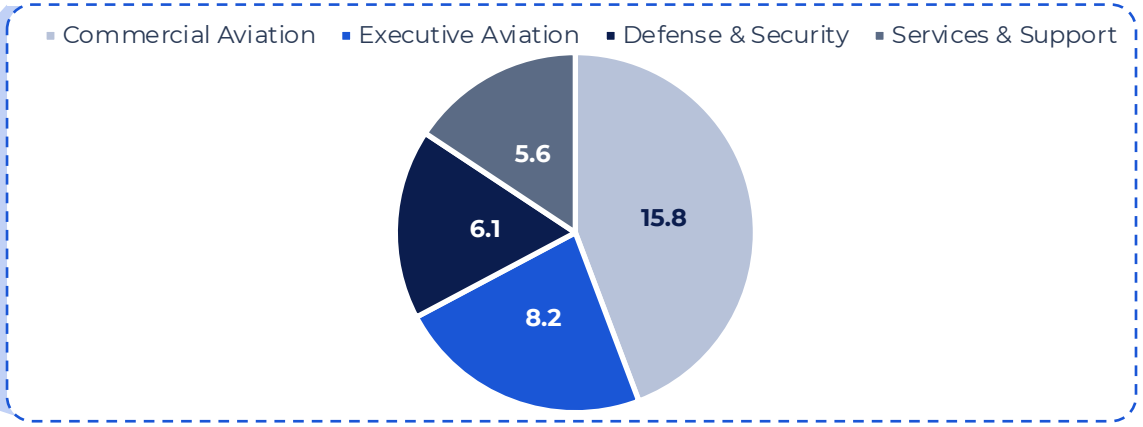
More than double the pre-pandemic level

Firm order backlog (US$ bn), year-end 2019–2025 and 3Q26



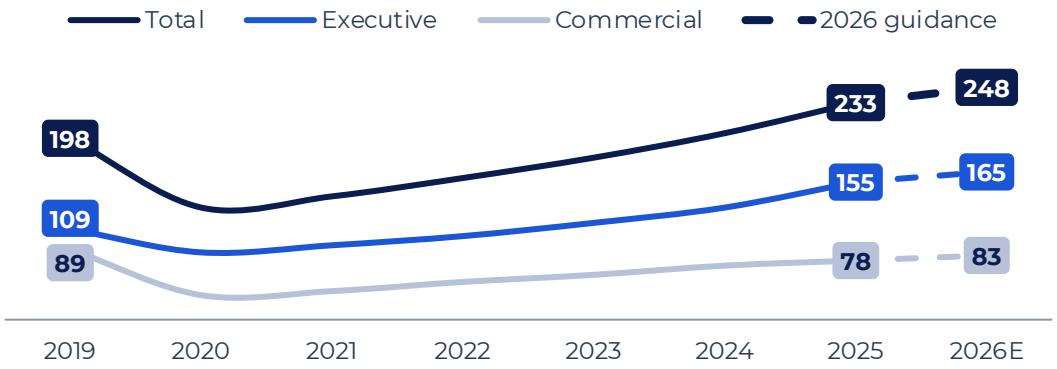
What the backlog is made of

Backlog by segment (US$ bn), 3Q26



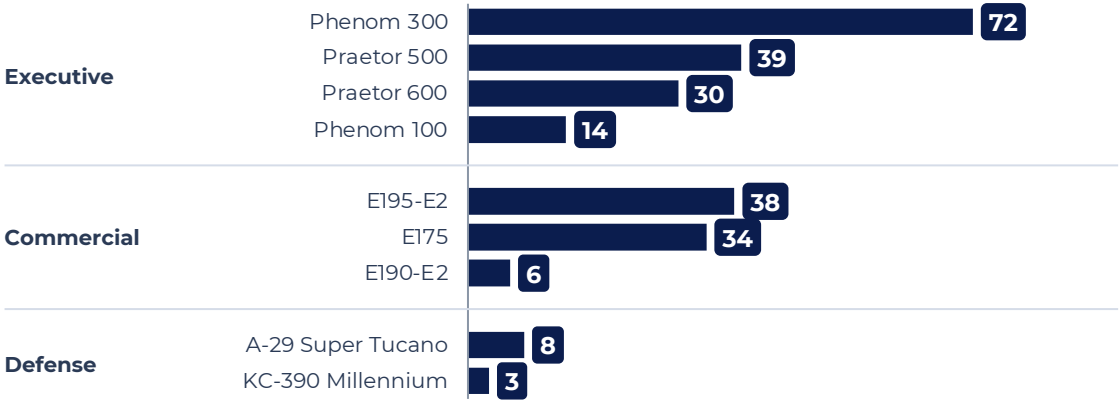
Total deliveries above 2019, led by executive jets

Jet deliveries by segment (units), 2019–2025 and 2026 guidance midpoint



Phenom 300 remains the most delivered model

Deliveries by model (units), 2025



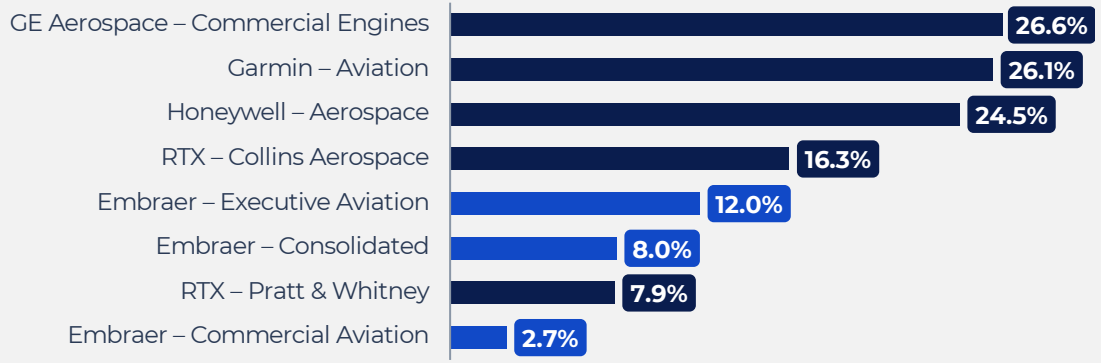
Sources: Company Data

Critical suppliers and a few airlines hold leverage

Supplier lock-in upstream, customer concentration in commercial jets

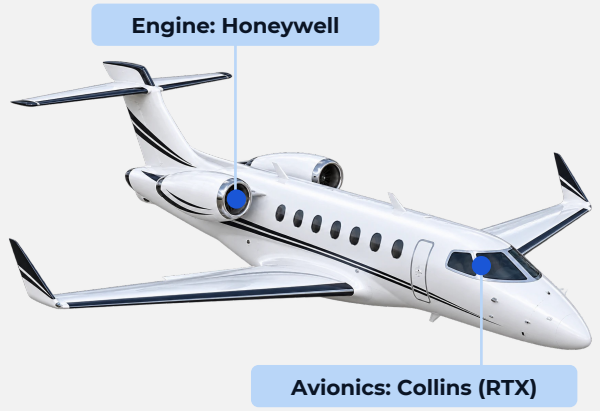
Most engine and avionics makers out-earn Embraer

Reported segment operating margin (%), FY2025



...and each jet is locked into one of each

Praetor 600 example and positions held by group (illustrative)



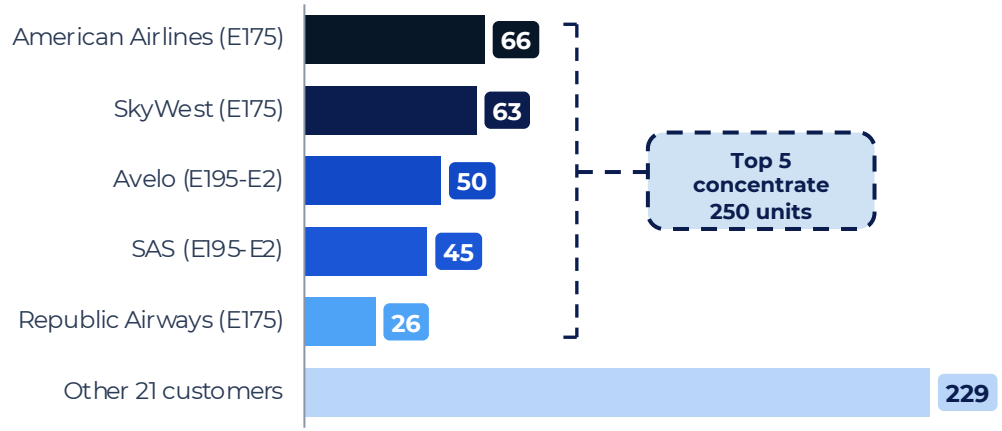
Across all 5 programs

engine and avionics positions, of 10

RTX	5
Honeywell	3
GE	1
Garmin	1

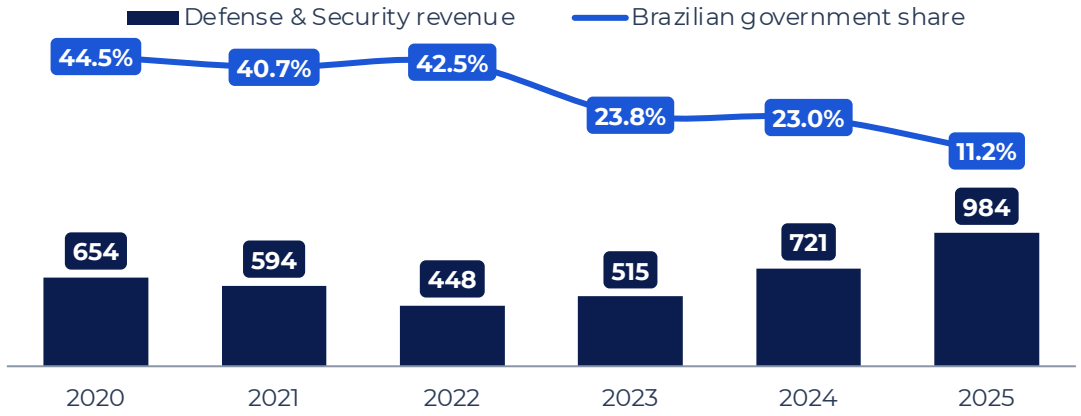
On the buyer side, a few airlines hold most orders

Firm orders yet to be delivered, by customer (units), 3Q26



...while exports shrank Brazil's weight in defense

Defense revenue (US$ mn) and government share (%), 2020–2025



Sources: Embraer Form 20-F 2025 (Item 3.D, Item 4, Note 35) and Form 20-F 2022; Embraer 3Q26 Backlog and Deliveries release (23-Oct-2026); GE Aerospace, RTX, Honeywell and Garmin Form 10-K 2025.

E175: the only 70–90 seat jet for sale in the West

Comparação com os concorrentes diretos no segmento de 70 a 90 assentos

Embraer E175



- **Seats:** 76–88
- **Engine:** GE CF34-8E
- **Entry into service:** 2005
- **Status:** ● In production
- **Delivered:** 813 through Dec/25 + 27 in 9M26
- **Backlog:** 190 aircraft (Dec/25)
- **US scope clause:** ✓ Compliant (76-seat version)
- **Key operators:** SkyWest, Republic, Envoy (American), Horizon, United Express

Embraer E175-E2



- **Seats:** 80–90 · **Engine:** P&W PW1700G (GTF)
- **Status:** ● Development paused since 2022 (pause extended in Feb/25)
- **Delivered:** 0 | **Backlog:** 0
- **US scope clause:** ✗ MTOW above the limit (98,300 lb vs. 86,000 lb)

Edge: The only new jet that fits US scope rules; E-Jet family with 1,000+ orders

CRJ900



- **Manufacturer:** Bombardier / MHI RJ (Canada / Japan)
- **Seats:** 76–90
- **Engine:** GE CF34-8C5
- **Entry into service:** 2003
- **Status:** ● Production ended in 2020 (last delivery Feb/21)
- **Delivered:** 487 (+330 CRJ700, the smaller variant)
- **Backlog:** —
- **US scope clause:** ✓ Compliant, but no longer produced
- **Key operators:** Endeavor (Delta), SkyWest, PSA, Mesa

Edge: E175's direct rival in the US until 2020; aging fleet with no factory replacement = demand for the E175

COMAC C909



- **Manufacturer:** COMAC (China)
- **Seats:** 78–90
- **Engine:** GE CF34-10A
- **Entry into service:** 2016
- **Status:** ● In production
- **Delivered:** ~210
- **Backlog:** Not disclosed
- **US scope clause:** ✗ Too heavy and no FAA certification
- **Key operators:** Chinese state-owned airlines

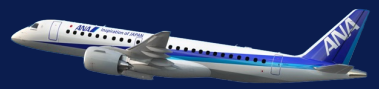
Edge: State backing and a captive domestic market, but no access to the US or Europe

Small Narrowbody Jets: Embraer vs. Airbus

Aircraft comparison in the 100–150 seat market

Embraer

Embraer E190-E2



- **Manufacturer:** Embraer (Brazil)
- **Seats:** 97–114
- **Engine:** Pratt & Whitney PW1900G
- **Entry into service:** 2018
- **Maximum published range:** ~2,950 nm
- **Maximum takeoff weight:** ~56.4 tonnes
- **Cabin configuration:** 2+2
- **Status:** ● In production
- **2025 deliveries:** 6 aircraft
- **Firm backlog (Dec/25):** 21 aircraft

Embraer E195-E2



- **Manufacturer:** Embraer (Brazil)
- **Seats:** 120–146
- **Engine:** Pratt & Whitney PW1900G
- **Entry into service:** 2019
- **Maximum published range:** ~3,000 nm
- **Maximum takeoff weight:** ~62.5 tonnes
- **Cabin configuration:** 2+2
- **Status:** ● In production
- **2025 deliveries:** 38 aircraft
- **Firm backlog (Dec/25):** 235 aircraft

Airbus

Airbus A220-100



- **Manufacturer:** Airbus
- **Seats:** 100–135
- **Engine:** Pratt & Whitney PW1500G
- **Entry into service:** 2016
- **Maximum published range:** ~3,600 nm
- **Maximum takeoff weight:** ~63.7 tonnes
- **Cabin configuration:** 2+3
- **Status:** ● In production

Airbus A220-300



- **Manufacturer:** Airbus
- **Seats:** 120–160
- **Engine:** Pratt & Whitney PW1500G
- **Entry into service:** 2016
- **Maximum published range:** ~3,400 nm
- **Maximum takeoff weight:** ~70.9 tonnes
- **Cabin configuration:** 2+3
- **Status:** ● In production

Source: Embraer FY2025 Form 20-F; Embraer E-Jets E2 technical specifications; Airbus A220 technical specifications.

Scope clauses: a competitive moat with a growth ceiling

U.S. pilot agreements protect the E175 while restricting next-generation aircraft adoption

U.S. scope clauses **protect Embraer's E175 franchise**, but **constrain regional fleet expansion and delay the E175-E2**

How scope clauses work

The purpose: Pilot unions seek to **protect mainline flying** from being transferred to lower-cost regional carriers.

The restrictions: Major U.S. airline agreements typically limit **76 seats, 86,000 lb MTOW** and **regional fleet size**.

Competitive protection: The current E175, in its compliant configuration, **meets these requirements**, while its historical CRJ competitors are no longer produced.

Growth limitation: Fleet caps **restrict potential expansion** even when demand for additional regional aircraft exists.

Impact on E175-E2 development

Scope compliance protects the E175 but delays its successor

E175 — SCOPE-COMPLIANT

- ✓ **76-seat** compliant configuration
- ✓ MTOW (LR): **85,517 lb**
- Status: **In production**

E175-E2 — ABOVE SCOPE

- Up to **90 seats**
- MTOW: approximately **98,800 lb**
- ✗ **Exceeds** typical U.S. scope limits
- Development **paused in 2022**; additional four-year pause approved in February 2025

Official announcement

Additional four-year suspension announced in February 2025

EMBRAER S.A. — MATERIAL FACT February 25, 2025

"...approved an additional four-year pause in its E175-E2 jet development program."

The decision reflects **ongoing U.S. scope clause negotiations**, global market conditions and **continued demand for the current E175**.

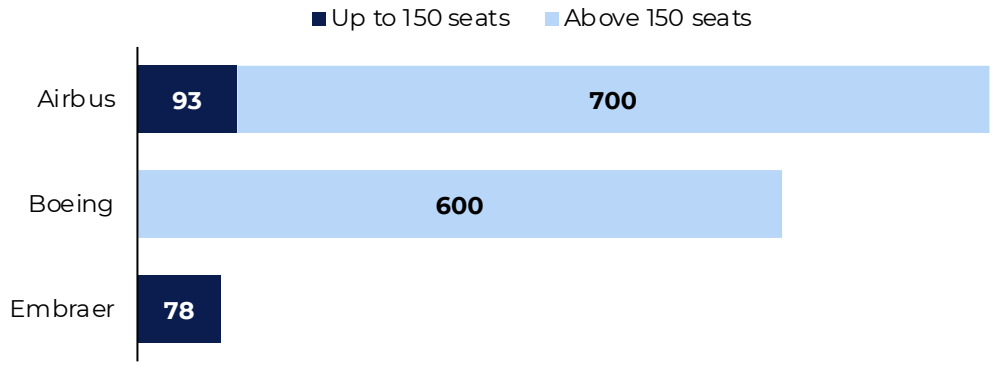
Source: Embraer Official Material Fact, February 25, 2025.

Few rivals, mostly larger: Embraer leads its niches

Embraer avoids the A320/737 core and focuses on regional jets, light jets and medium airlift

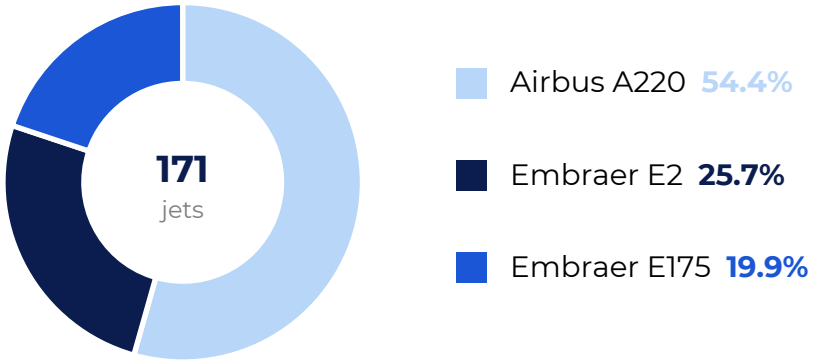
Airbus and Boeing **own** the large-jet market...

Commercial jet deliveries by manufacturer and seat class (units), 2025



...so below 150 seats only **two Western makers** remain...

Share of Western jets up to 150 seats delivered in 2025 (%)



...and every Embraer niche has only **a handful of rivals**

Embraer vs its main rival, by market

70–90-SEAT JETS



E175 Embraer	vs	**C909** COMAC

Main rivals in production: 1

100–150-SEAT JETS



E2 Embraer	vs	**A220** Airbus

Main rivals in production: 1

MEDIUM MILITARY AIRLIFT



KC-390 Embraer	vs	**C-130J** Lockheed Martin

Main rivals in production: 5

LIGHT ATTACK / TRAINING



A-29 Embraer	vs	**AT-6** Textron

Main rivals in production: 3

Sources: Embraer 20-F 2025 and Reference Form 2026; Forecast International; Air Data News; Caixin;